China Briefing #5: The United States is Seeking to Contain a Rising China

In this simulation, you will be part of a team of negotiators representing China in trade talks with the United States. ***Your goal is to represent the interests of Chinese national security and to consider the implications of trade and investment with the U.S. for the growing strategic competition with China*** and to ensure that any agreement reached between the two countries will reflect these interests.

If no agreement is reached by the end of negotiations, tariffs on $200 billion worth of Chinese goods will increase from 10% to 25%.

The Trade War is the beginning of a new "Cold War" between China and the West

China is now the world's second largest economy. In spite of China's pacifist foreign policy stance and commitment to win-win cooperation, the United States increasingly views China as at a threat and challenge to its status as the current global hegemon. In post-war history, the United States acted quickly to constrain countries whose national powers begin to show signs of catching up to that of the United States (e.g. US' trade policies toward Japan in the 1980s).

The current trade war is beyond two trading partners disputing the gains and losses from economic cooperation. It is a contest where the current hegemon and a rising power compete for dominance over the world economic system of the next century and the United States' latest strategy to contain China's rise in this system.

There are several considerations in this strategic competition between the United States and China:

First, China's overall capabilities are still lower than those of the United States. Directly challenging the United States now will be to China's detriment. Second, China is currently disproportionately dependent on United States than United States is on China. China sends nearly 20 percent of its exports to the United States (China only accounts for 5 percent of US exports). However, China has enormous domestic market potential, one sixth of the world's population, and many partners around the world and does not *need* the United States to sustain a robust economy in the long run. Third, the US-China rivalry is to stay for the long haul. China must aim to enhance its capabilities vis-à-vis the United States in the long run even if it must make some concessions in the short run.

It is also important to keep in mind that, in this trade war, the United States is the aggressor. For China, Made in China 2025 (MiC 2025) is a long-term national economic development plan, but the U.S. believes that this plan is a threat because it may enable China to surpass the United States in critical technologies. American unilateralism and rising trade protectionism are forcing China to take the road of *self-reliance*, particularly in developing its own strategic and emergent dual-use technology in artificial intelligence, quantum computing, and robotics.

In addition, the United States continues to withhold its support for China-led global initiatives such as Belt and Road and Asian Infrastructural Investment Bank. It also interferes with China's core interests on issues such as Taiwan and legitimate territorial claims in the South China Sea and East China Sea. In sum, the trade war is only the latest ammunition in the United States' multifaceted strategy to contain China.

Concerns about U.S. China Trade and Investment Relations

Because you represent the national security interest in China, your main concerns are to reduce China's disproportionate economic dependence on the United States, increase China's self-reliance, advance China's techno-industrial capabilities in **preparation for a continued rivalrous relationship with the United States** while avoiding direct confrontation or military conflicts:

China should seek out ways to gain a competitive edge in its rivalry with the United States without engaging in needless confrontation. Put simply, China must avoid confrontation with the U.S. in the short run while building its capabilities to prevail over the U.S. in the long run. This is a delicate balance to keep: On the one hand, continued engagement with the United States can help reduce direct confrontations and military conflict; on the other hand, China must make sure that this continued engagement does not harm China's national interest.

China must continue to strengthen its national power through continued growth and strengthen the technical sophistication of its military capabilities more specifically. Industrial policies that support emerging strategic industries play an important role in the success of this strategy. China must invest in indigenous innovation and develop its own advanced technologies in order to gain a competitive and tactical advantage over the United States in the long run. Accusing China of economic espionage, practicing forced technology transfer, abusing industrial policies, and effectively banning Chinese investments' in American high tech industries are all actions to prevent China from developing its own techno-industrial base and to contain China's rise.

China's best answer to the attempt by the United States to contain China is self-strengthening and self-reliance. We must remember that, opening up markets is a means to an end and not an end in itself. China should pursue economic liberalization only if it serves national objectives. Some concessions probably are necessary to reduce tensions with the U.S. but we should be careful that these do not undermine China's long-term national development and security.

Formulating a Negotiation Strategy: Increase Self-Reliance and Maintain an Edge in Competition with the U.S.

China should remind the United States that reducing tariffs to 2017 levels serves the interest of both economies. It should be prepared to make limited concessions to achieve this goal.

1. **Increasing imports of American goods without undermining China's food and energy security** (such a purchase agreement would help Chinese consumers by lowering prices, help U.S. producers of soybeans, natural gas, oil, and help reduce the trade deficit between the U.S. and China)
2. **Strengthen intellectual property protection**, trade secret protection, and counterpiracy enforcement (these policies strengthen the rule of law in China and protect all innovative and productive companies, whether they are American or Chinese)
3. **Reform specific policies and practices linked to forced technology transfer** (the new Foreign Investment Law passed in March 2019 already contains language that make it illegal to force foreign companies to surrender technology to Chinese partners)
4. **Cease government-sponsored or tolerated cyber espionage and intrusions into U.S. commercial networks** (China negotiated a "hacking truce" under the previous U.S. administration but this lapsed since trade tensions escalated in 2018, honoring this agreement would be a gesture of goodwill)

China should NOT support any deal that would eliminate the state's ability to support emerging industries and promote innovation through industrial policy.

In exchange, China should demand the following concessions from the United States:

1. **Reduce tariffs on Chinese imports to 2017 levels** (there are currently 25% tariffs on $50 billion and 10% tariffs on another $200 billion of Chinese imports and retaliatory tariffs of 10-25% tariffs on $110 billion of U.S. imports, these tariffs hurt consumers and businesses in both countries and should be walked back as part of any deal)
2. **Give equal treatment to Chinese companies in national security review** (Chinese investors worry about the expanded power of the Committee on Foreign Investment in the United States (CFIUS) foreign investment review process would be used to block Chinese investments in the U.S., a promise not to abuse the national security review process is an important part of reciprocal market access)
3. **Lift bans on high technology exports such as integrated circuits and aircraft to China** (these products are important to China's economic development and lifting export bans would also be profitable for U.S. producers of these products)
4. **The U.S. can agree to take a more limited approach in defining its export control regime** regarding the export of dual-use technologies (the U.S. export control regime is under review at present and the U.S. can take steps to reassure China that it will not be abused to ban most or all high technology exports to China but limited to those that have important military applications)
5. **Agree not to send warships or military personnel to Taiwan or to conduct military exercises with Taiwan** in return for Beijing not to undertake provocative military actions in the Taiwan Strait (Taiwan is part of China and the U.S. recognizes that the future of Taiwan be peacefully decided by the peoples of both sides of the Strait, to this end, the U.S. should not to take provocative actions such as stationing military personnel in Taiwan if China promises to do the same)
6. **The United States should recognize core Chinese national interests**, respect Chinese sovereignty and territorial integrity, and endorse the "new type of great power relations" formulation